Europe's carbon border will cost India's five largest steel exporters €14.7bn by 2034 if they do nothing. 66% of it is a tax on missing data.

Since 1 January 2026, EU importers of Indian steel, aluminium and cement buy CBAM certificates at the EU carbon price. Free allocation falls to zero by 2034, and unverified goods pay on India's punitive default values plus a mark-up of up to 30%.

€14.7bn
2026–34 CBAM bill if the top five do nothing

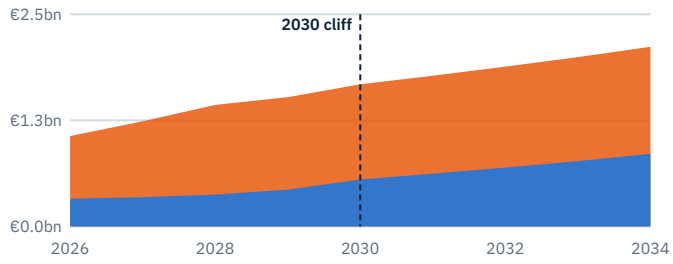
66%
of it is a tax on missing data (EU defaults)

€278 → €56
per tonne of HR coil in 2026: default vs verified

€2.8bn
residual after five modelled moves

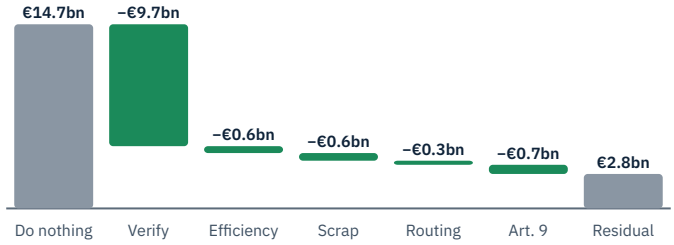
THE PROBLEM

The bill steepens sharply from 2030



THE PRIZE

Five moves cut €14.7bn to €2.8bn



Cumulative CBAM paid to the EU 2026–34, moves applied in sequence

WHO IS EXPOSED

Executive scorecard: red, amber, green on five risks

Producer	2030 €/t	Margin kept	Default penalty	Route risk	Cliff
JSW Steel	Watch	Watch	High risk	Low risk	Low risk
Tata Steel	Watch	Watch	High risk	Low risk	Watch
AM/NS India	High risk	High risk	High risk	High risk	Low risk
JSPL	High risk	High risk	Watch	High risk	Low risk
SAIL	High risk	High risk	Watch	Low risk	Low risk

High risk · Watch · Low risk

WHAT WE FOUND

Four insights that change the plan

1. **Data, not steel, is the first problem.** Verification removes €9.7bn before any plant is touched.
2. **2030 is the cliff.** Verified BF-BOF steel pays €210–€275/t by 2034.
3. **Renewables don't cut steel CBAM.** Only direct emissions are charged today.
4. **Hydrogen now destroys value** (€922/t); as a staged option it is worth €99/t.

WHAT TO DO

Five moves, in order of priority

1	Verify every EU-bound tonne	€9.7bn	Next 6 months	Producers
2	Reprice CBAM risk in EU contracts	Margin	Next contract round	Producers
3	Serve Europe from the cleanest plants	€1.5bn	2026–29	Producers
4	Hold hydrogen as a staged option	€99/t	2030+	Producers
5	Make India's carbon price count (Art. 9)	€1.0bn	2026–29	Government

For government: make India's carbon price count
An explicit, Article 9-creditable price of €20/t keeps **€1.0bn** in India over 2026–34. CCTS in its intensity design keeps €49m.

For MSMEs: CBAM is already here
Fasteners, tubes and structures worth **$1.2bn** of EU imports are in scope today; the 2028 proposal adds $2.9bn.

Explore the interactive model, roadmap and sources at cbam-india.vercel.app

Method: Regulation (EU) 2023/956; Implementing Regulations 2025/2620, 2025/2621 and 2026/1740; Commission Q1–Q3 2026 certificate prices (€82.32/t in Q3, +3%/yr); FY26 company disclosures. Producer intensities and EU volumes are graded estimates (A–E). 100% pass-through unless stated. Not investment advice.

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